SUMMARY · MK 1 ORGANIZATIONAL BEHAVIOR & MANAGING PEOPLE · WEEK 7

Power & Politics in Organizations

"Office politics" sounds negative, but realistically you need to influence people to get things done — and that needs power. Covered: sources of power (French & Raven), how power changes behavior, formal vs informal hierarchy, hierarchy's checks and balances, and the definition of organizational politics.

Material

1 Why power matters; functions of hierarchy

Power = the ability to influence others. Managers must get others to act, so using power and politics effectively is a **core managerial skill**.

Hierarchy creates order, eases coordination, meets the need for stability and gives incentives to rise.

Power (control over valued resources; influence can be coercive) vs **status** (respect granted by others; influence is voluntary). Often correlated, not always.

2 Sources of power

Formal: hierarchy level, control of rewards/resources/information, central visible positions. **Informal:** relationships, reputation, expertise, personal attributes.

French & Raven base	Meaning
Legitimate	Formal right to demand.
Referent	Admiration and respect.

Expert	Skill and knowledge.
Reward	Ability to compensate.
Coercive	Ability to punish.
Informational	Control of needed information.

Legitimate, reward and coercive power sit with the position; referent and expert power sit with the person, last longer and earn *commitment* rather than mere compliance.

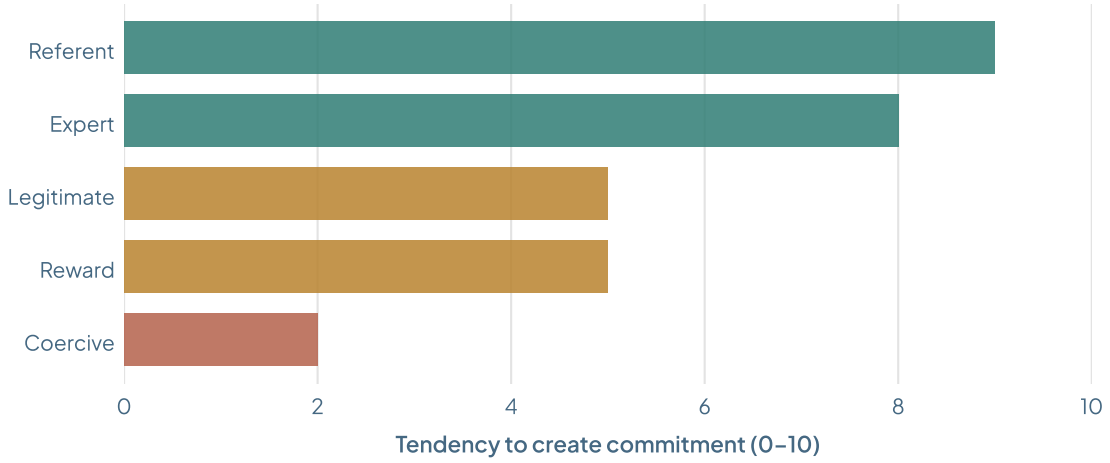
3 Five bases of power (French & Raven) and their effects

Deep dive

Position power
Legitimate, reward, coercive.

Personal power
Expert, referent.

Power bases vs typical commitment (conceptual)



Conceptual summary of common findings.

Response	From
Commitment	Expert, referent
Compliance	Legitimate, reward

Resistance	Excessive coercion

4 How power changes thinking and behavior

High power: action-oriented, confident, more risk-taking (illusion of control), self-focused, less sensitive to social cues, abstract thinking, sees others instrumentally. **Low power:** negative affect, threat vigilance, inhibition.

Most dangerous: managers who feel powerless — authoritarian, restrictive, hold back talented staff, disliked by subordinates and bosses.

Power and status are **self-reinforcing**.

5 Formal vs informal hierarchy; status behavior

Formal hierarchy: titles, reporting lines. **Informal**: who excels at what matters most — conscientiousness predicts rank in task-oriented firms, extraversion in socially oriented ones.

- People pay more to avoid status loss than to gain status, and cheat more to prevent a drop.
- Status momentum: ascending into a rank looks better than descending into it.
- Over-claiming status is punished.

6 Hierarchy checks and balances; defining organizational politics

Hierarchies rarely produce one all-powerful winner. Checks include fairness and legitimacy (overpaid executives → more low-level turnover; illegitimate hierarchies spark action) and people choosing lower status when they contribute less.

Organizational politics (Farrell & Petersen, 1982): activities outside one's formal role that influence the distribution of advantages — calling in favors, sucking up — especially when critical limited resources are at stake.

Healthy stance: coalition-building, framing proposals and stakeholder relations are constructive politics; credit-stealing, favoritism and undermining are destructive — and, per Week 6, directly cut performance, especially in SOEs.

7 Mapping politics: the power × interest stakeholder grid

Deep dive

↕ Top: high power · bottom: low power

Keep satisfied	Manage closely
Monitor	Keep informed

↔ Left: low interest · right: high interest

≡ **Kana–Bram**

Both Bram and Sutanto are "manage closely": make contributions visible and build relationships.

Healthy politics

Coalitions, visibility, open negotiation.

vs

Destructive politics

Credit-stealing, favouritism, withholding information.

8 Hierarchy's checks and balances: three research findings from the slides

The slides stress that hierarchy rarely produces one all-powerful winner — there are countervailing forces. Three studies cited:

Study	Finding	Lesson for managers

Wade, O'Reilly & Pollock (2006) — 120 firms over 5 years	When top executives were overpaid, lower-level employees were more likely to leave	Fairness of pay at the top affects loyalty below (link to Equity Theory, Week 3)
Lammers et al. (2008)	Illegitimate hierarchies create unrest; low-power people take more action and risk to restore legitimacy	Power without legitimacy (promotion through closeness, not performance) invites resistance
Anderson et al. (2012)	People deliberately choose lower or middle status positions when they believe they add less value to the group	Many people don't chase rank blindly; they match it to the value they can offer

The price of status and status momentum (Pettit et al.)

- People pay more to **avoid losing status** than to gain it (like *loss aversion*), and are even more likely to cheat to prevent a drop.
- **Momentum**: someone who reached a position by rising is judged higher in status than someone at the same position who got there by falling.
- **Over-claiming** (claiming more status than the group grants) tends to be punished — link to Pak Bram in Week 3's case.

9 Influence tactics and political skill: being political ethically

The slides define organisational politics as activities outside one's formal role that influence the distribution of advantages and disadvantages (Farrell & Petersen, 1982), usually when critical, scarce resources are at stake. Politics can't be avoided — the question is *how* to influence people effectively and ethically.

Nine influence tactics (Yukl)

Tactic	Example	General effectiveness
Rational persuasion	Data and logic	High, especially upward

Inspirational appeal	Linking to values and vision	High
Consultation	Inviting people to shape the solution	High
Collaboration	Offering help to make the request easy	High
Ingratiation	Flattery or being pleasant before asking	Moderate; easily seen as "currying favour"
Exchange	"I help with this, you help with that"	Moderate
Personal appeal	Asking on the basis of friendship	Moderate
Coalition	Gathering others' support	Low–moderate; can trigger resistance
Pressure / legitimating	Threats, demands or "the board ordered this"	Low; produces compliance, not commitment

Tactics drawing on **personal power** (expertise, referent) tend to produce commitment; tactics drawing on **position power** (coercion, legitimacy) tend to produce temporary compliance or resistance.

Political skill (Ferris et al.)

Four components: **social astuteness** (reading people and situations), **interpersonal influence** (adapting style to each person), **networking ability** (building networks and coalitions) and **apparent sincerity** (seeming — and ideally being — genuine). High political skill is linked to better performance and career progress.

A simple ethics test before acting politically

1. **Whose interest?** Does this serve the organisation's goals or only my own?
2. **Others' rights**: does it violate rights or unfairly harm others?
3. **Fairness**: is it fair and defensible if made public (the "newspaper test")?

Key takeaways

1. Power = ability to influence; using it well is a managerial skill.
2. Power (resource control, can coerce) ≠ status (respect, voluntary).
3. French & Raven: legitimate, referent, expert, reward, coercive, informational.
4. Personal power outlasts positional power.
5. Managers who feel powerless become authoritarian and hold back talent.
6. People fear losing status more than they want to gain it.
7. Politics arises over scarce resources; distinguish constructive from destructive politics.

Case studies

Case & worked answers

Connecting to earlier cases: Kana–Bram and Microsoft

Rudi & Kana through a power lens: Bram's credit-claiming is destructive politics over a scarce resource (visibility with Sutanto). Sutanto holds informational and referent power via proximity to the owner — informal hierarchy beats the org chart. Kana has expert power but lacks visibility and network; make expertise visible (document contributions, present results, build relationships) — constructive politics, not sucking up.

Microsoft: stack ranking created permanent artificial scarcity, so politics flourished; Pettit's finding explains sabotage. Nadella removed the scarcity and used referent power to change culture.

Reflect: which power bases do you hold? A healthy path is building expert and referent power, making contributions visible with data, and building interest-based coalitions.

Practice questions

Try answering first. The answer key is below each question.

1. A senior employee is respected for expertise without a title. Power base…

A. Legitimate
B. Coercive
C. Expert
D. Reward

Answer: C. Expert power.

2. Which power most likely triggers resistance when overused?

A. Referent
B. Expert
C. Coercive
D. Legitimate

Answer: C. Coercion breeds resistance.

3. High power, high interest stakeholders should be…

A. Monitored
B. Kept satisfied
C. Managed closely
D. Informed occasionally

Answer: C. Manage closely.

4. Which is healthy organisational politics?

A. Claiming a colleague's idea
B. Building coalitions and visibility
C. Withholding information
D. Favouritism

Answer: B. Open, ethical influence.

5. Personal power differs from position power because…

A. Only directors have it
B. It stays with the person, not the post
C. Always coercive
D. Can't be built

Answer: B. It travels with you.

Sources

- Week 7 Power & Politics in Organizations (Student Version).pdf